



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

ECONOMICS

PAPER 3 Essays

SPECIMEN PAPER

4050/3

2 hours

Additional materials:
Answer paper.

INSTRUCTIONS TO CANDIDATES

Write your name, centre number and candidate number in the spaces provided on the answer booklet.

Answer any **four** questions.

Write your answers on the separate answer booklet provided.

If you use more than **one** answer booklet, fasten the sheets together.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part question.

This specimen paper consists of 2 printed pages.

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- 1 (a) Describe any **four** types of economic resources found in your community. [10]
- (b) Outline the relationship between scarcity, choice and opportunity cost. [10]
- 2 Discuss the economic system in Zimbabwe. [20]
- 3 Discuss **five** reasons for wage differentials in Zimbabwe. [20]
- 4 (a) With the aid of a diagram, illustrate the relationship between price and quantity supplied of bread in the market. [8]
- (b) Analyse **four** determinants of supply of mealie meal. [12]
- 5 (a) Distinguish between fixed and variable costs. [8]
- (b) Describe the terms:
 - (i) abnormal profits,
 - (ii) normal profits. [12]
- 6 (a) List any **four** functions of the Reserve Bank of Zimbabwe (RBZ). [4]
- (b) Describe how consumers and producers are affected by high rate of inflation in Zimbabwe. [16]
- 7 (a) Outline any **four** signs of economic development. [8]
- (b) Discuss any **three** advantages and any **three** disadvantages of population growth on economic development. [12]
- 8 Discuss any **five** problems faced by unemployed youths in your community. [20]
- 9 Describe the following concepts related to market failure and government intervention in Zimbabwe.
 - (a) Demerit goods [4]
 - (b) Merit goods [4]
 - (c) Negative externalities [4]
 - (d) Positive externalities [4]
 - (e) Public goods [4]
- 10 Outline reasons why Zimbabwe imposes trade restrictions. [20]